

GNIOT Institute of Management Studies – PGDM (Batch 2023-25)**(TRIMESTER –V) END TERM EXAMINATION, JANUARY -2025****MERGER AND ACQUISITIONS****[Time: 2 Hours]****[Maximum Marks: 60]****Following are the course outcomes of the subject: - MERGER AND ACQUISITIONS**

CO	Course Outcome (CO)
CO1	Understanding M&A Strategies
CO2	Due Diligence and Risk Assessment
CO3	Valuation Techniques

*(Note- Faculty can add the more CO's as per their subject.)***SECTION-A****Attempt all parts of the following: (Short Answer Type Questions, do not exceed 150- 200 words)**

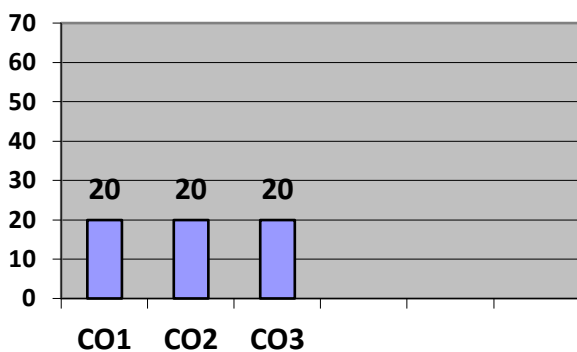
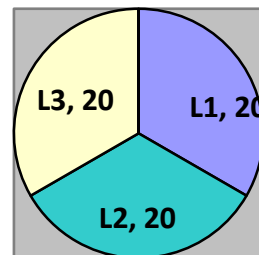
Q.1	Marks	COURSE OUTCOME	BLOOMS LEVEL
(A)	4	CO – 1	BL-1
(B)	4	CO – 1	BL-1
(C)	4	CO – 1	BL-1
(D)	4	CO – 1	BL-1
(E)	4	CO - 1	BL-1

SECTION-B**Attempt ANY TWO questions out of the following: (Long Answer Type Questions, do not exceed 300- 400 words)**

Q. No	Marks	COURSE OUTCOME	BLOOMS LEVEL
2 (A)	10	CO – 2	BL-2
2 (B)	10	CO – 2	BL-2
3 (A)	10	CO – 2	BL-2
3 (B)	10	CO – 2	BL-2

SECTION-C**Attempt all parts of the following: (Caselet / Numerical, do not exceed 300- 400 words)**

Q.4	Marks	COURSE OUTCOME	BLOOMS LEVEL
4 (A)	4	CO – 3	BL-3
4 (B)	4	CO – 3	BL-3

Course Outcome Wise Marks Distribution**L1 L2 L3****Bloom's Level wise Marks Distribution****Moderated By****IQAC****Dean - Examinations**

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GNIOT Institute of Management Studies – PGDM (Batch 2023-25)**(TRIMESTER – V) END TERM EXAMINATION, JANUARY - 2025****MERGER AND ACQUISITIONS****[Time: 2 Hours]****[Maximum Marks: 60]****INSTRUCTIONS:**

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A**(Short Answer Type Questions, do not exceed 200 words)****Q.1. Attempt all parts of the following:****(5×4=20)**

- (a) Define Acquisition
- (b) What is a Vertical Merger?
- (c) What are the two motives behind International M&A.
- (d) What is meant by a Management Buyout (MBO)?
- (e) List two key provisions of the Companies Act, 2013, related to M&A.

SECTION-B**(Long Answer Type Questions)****Q.2. Attempt all questions of the following****(2×10=20)**

- (a) Disney acquired Pixar in 2006 to rejuvenate its animation business and improve storytelling capabilities. Explain the reasons behind Disney's acquisition of Pixar.

OR

- (b) In 2007, Blackstone Group, a leading private equity firm, acquired Hilton Hotels for \$26 billion in one of the largest LBOs in history. Explain about LBO and its process.

Q.3. (a) Tata Steel acquired Corus in 2007 to expand its global presence in the steel industry. Outline the five stages of the merger process in this acquisition.

OR

- (b) Pfizer and Allergan planned a \$160 billion merger in 2016 but cancelled due to changes in U.S. tax regulations. Explain the impact of government policies and political and economic stability on International M&A decisions.

SECTION-C**Case Study: Acquisition of Digital Zone Ltd. by TechCore Ltd.**

TechCore Ltd., a leading player in the software development industry, plans to acquire DigitalZone Ltd., a mid-sized cloud solutions provider, to enhance its service portfolio and strengthen its market presence. Below is the financial data for the two companies:

Details	TechCore	Digital Zone
Earnings (Net Profit)	₹30 crore	₹6 crore
Number of Shares	1 crore	25 lakh
Market Price per Share	₹ 250	₹ 200

Q.4. Attempt all parts of the following:**(4×5=20)****Case Questions: Solve the below given questions:**

- (a) EPS of both companies before the acquisition.
- (b) The P/E ratio of both companies before the acquisition
- (c) If TechCore offers ₹250 per share to acquire Digital Zone, calculate the total valuation of Digital Zone.
- (d) The number of new shares TechCore must issue for the acquisition
- (e) The combined EPS of both companies after the acquisition